12. INCOME TAXES

The Company and its subsidiaries file a consolidated federal income tax return. The Company and the subsidiaries file separate state franchise, income and premium tax returns as applicable.

The following table provides components of income tax expense for the following periods:

	Year Ended December 31, 2005	Year Ended December 31, 2004	Year Ended December 31, 2003
Current:			
Federal	$ 20,100	$ 23,411	$ 13,465
State	4,531	4,065	1,906
	24,631	27,476	15,371
Deferred:			
Federal	7,624	3,335	1,398
State	990	445	186
	8,614	3,780	1,584
Total	$ 33,245	$ 31,256	$ 16,955

A reconciliation of income tax at the effective rate to income tax at the statutory federal rate is as follows:

	Year Ended December 31, 2005	Year Ended December 31, 2004	Year Ended December 31, 2003
Income tax expense at statutory rate	$ 29,811	$ 28,176	$ 14,256
Increase (reduction) resulting from:			
State income tax, net of federal benefit	3,936	2,932	1,611
Provision to return differences	(369)	—	403
Effect on non-deductible expenses and other, net	(133)	148	685
Total income tax expense	$ 33,245	$ 31,256	$ 16,955

The significant components of the Company's deferred tax assets and liabilities are as follows:

	December 31,		
	2005	2004	2003
Deferred tax assets:			
Medical and other benefits discounting	$ 8,257	$ 6,215	$ 2,178
Unearned premium discounting	926	4,964	5,968
Accrued expenses and other	2,170	4,183	3,890
	11,353	15,362	12,036
Deferred tax liabilities:			
Goodwill, other intangibles and other	16,577	14,818	4,155
Prepaid liabilities	1,260	—	1,068
	17,837	14,818	5,223
Net deferred tax asset (liability)	($6,484)	$ 544	$ 6,813